

STAFF TRAINING · ACCOUNTING FIRMS

AI Training for Accounting Firms

Using AI with confidence, care and compliance
Delivered by Towobola Odukoya

PART 1

Governance

AI basics, its associated risks, use cases, and the regulations that apply to accounting firms

PART 2

Prompt engineering

Introduction to AI tools and case studies, including when a client says no to AI

Roadmap

01 Significance of this training

02 About me

03 Introduction to Artificial Intelligence

04 Artificial Intelligence in accounting firms

05 Glossary: personal data

06 Risks

07 Regulators and penalties

Let's work backwards: why is this training important?

01

Confidence

AI is here to stay. Agree our risk appetite and the governance effort the firm needs.

02

Competitive advantage

Firms that use AI well work faster and offer more to clients.

03

Client trust

Clients need to know their data and their work are handled responsibly.

04

No technological debt

Good foundations now mean we are not paying for poor choices later.

05

Avoiding fines

Regulatory compliance protects the firm, our clients and our licence to practise.

06

A tailored approach

Guidance built around how accounting firms actually work, not a generic checklist.

About me

5

years

working with, learning and applying data protection rules, and watching the rise and risks of AI from a regulatory perspective.

Regulatory compliance background

Not just interpreting regulations across different industries, but understanding what regulators expect too.

Sound judgement

A practical, risk-based view of what matters for small and mid-sized firms.

Investigative approach

Seasoned analysis skills: asking the right questions before trusting an answer.

What is Artificial Intelligence?

DEFINITION

- ❑ The “theory and technological developments” of computing that enable the performance of operations that mimic human intelligence. (House of Lords, 2023)
- ❑ any system or machine that can perform human-like tasks by using Machine Learning (ML) models to identify and mimic patterns in the data it collects. Through continuous feedback loops, the system or machine gradually improves its performance. (Microsoft, 2024)

01 Not new

In use since the 1940s, when “black box” models would be used in credit scoring and other functions, but it has since undergone massive innovation.

02 There are different kinds of AI

- Generative Artificial intelligence
- Predictive Artificial Intelligence
- Conversational Artificial intelligence

03 Generative AI

- The difference between Gen AI and others—Generative AI's creative abilities to create text, music, images etc. mark a significant development in AI technology.

Automation (traditional ‘AI’) vs Artificial Intelligence (Generative AI)

AUTOMATION

Follows the rules we set

Algorithmic processing, historical data, pattern recognition.

ARTIFICIAL INTELLIGENCE (Gen AI)

Learns from data

Mimics human intelligence— predicts, understands or creates something new.

EVERYDAY EXAMPLES

BOTH

GPS navigation

Fixed route rules, plus AI predicting traffic and arrival times

AI

Text to speech

Natural voices learned from real human speech

AI

Google search

Works out what you mean and ranks the best results

AUTOMATION

Database tools

Rules, filters and scheduled reports, e.g. bank feed rules

BOTH

Chatbots

“Press 1 for billing” is automation; answering free-text questions is AI

AI is not new, as demonstrated it is already all around us. What is new is that now anyone can now talk to it directly.

What accountants use AI for today

77%

Communication

- ❖ Drafting a client email chasing overdue year-end documents, in the right tone
- ❖ Turning a technical HMRC update into a plain-English client message
- ❖ Drafting a first pass of a difficult message (e.g. a fee increase) for a colleague to personalise

59%

Meeting notes & actions

- ❖ First-draft meeting notes from a Teams call, with actions assigned
- ❖ Prepping talking points for a client meeting from past accounts and correspondence
- ❖ Turning a client call transcript into a follow-up email

58%

Research & problem solving

- ❖ Summarising new legislation (e.g. an ECCTA update) before a team discussion
- ❖ A starting point on a technical query, always checked against HMRC guidance
- ❖ Brainstorming risk questions to ask before onboarding a new client

Source: Karbon, State of AI in Accounting 2026. Examples illustrative.

What is personal data?

UK GDPR DEFINITION

“Any information relating to an identified or identifiable natural person.”

A person is identifiable if they can be identified directly or indirectly, for example by a name, an ID number, location data or an online identifier.

IN OUR WORK, THIS INCLUDES

Identity

Names, dates of birth, addresses, passport and ID copies

Tax identifiers

National Insurance numbers, UTRs, tax codes

Financial

Bank details, payslips, payroll files, income and pension figures

Correspondence

Client emails, meeting notes and engagement records

Source: [ICO: What is personal data?](#)

Risks associated with AI use

**Biased decision
making**

**Hallucinated
results and errors**

**Cybersecurity risk
of sensitive or
client data**

**Breach of client
confidentiality**

**Over-reliance
without human
review**

**Regulatory and
AML breaches**

WHAT THIS MEANS FOR YOUR FIRM

AI tools can be confidently wrong, can reflect bias in their training data, and can expose client information if used carelessly.

Each risk is manageable with the right tool, inputting the right data and a human check before anything leaves the firm.

MINDSET

How should we think about AI?

AI should be viewed as an assistant, not an authority.

An amplifier

It amplifies what is already there: good or bad.

Look past the hype

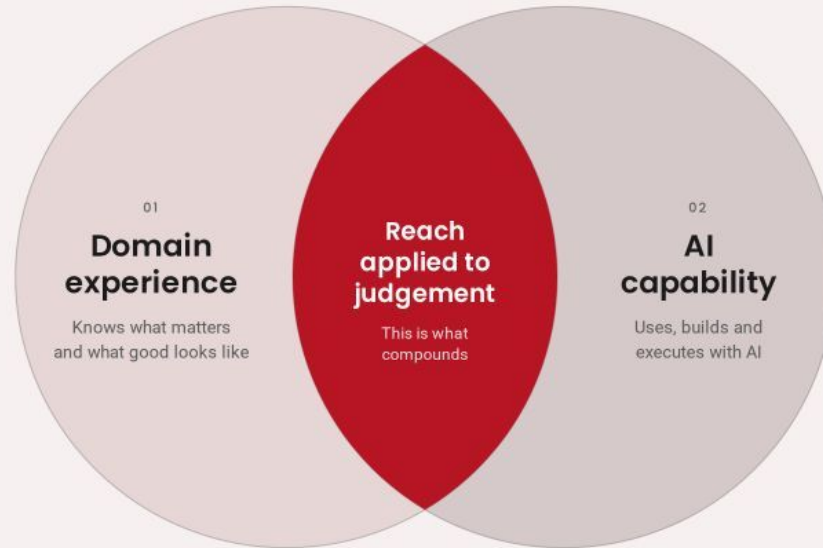
Judge tools on what they actually do for our work.

Client data first

Choosing the right tools protects client data. Part 2 covers this.

AI is not an equaliser. It is an amplifier.

AI amplifies whatever is already there. Expertise, judgement, imagination and execution all scale. So do shallow thinking, weak priorities and poor judgement.



LEFT OF THE OVERLAP

Judgement without reach

Deep domain knowledge, developing AI capability. Most of the advantage stays unused.

RIGHT OF THE OVERLAP

Reach without judgement

Strong AI skills, little domain experience. Impressive output nobody in the room can evaluate.

INSIDE THE OVERLAP

A Supercharged Professional

Domain grounding provides the judgement. AI capability provides the reach. Both are required.

As the technology becomes more capable, the quality of what it is amplifying matters more, not less.



AI Chief of Staff Programme
Singapore Founding Cohort

cfte.education/ai-chief-of-staff-programme

How AI can expose client data

The exposure starts before a **prompt** is submitted, and can persist after the task is complete.

01

INPUT

Client records, tax data or identifiers are copied into an **unapproved AI tool**.

02

PROCESSING

Prompts and files leave the firm's controlled environment and may pass through third-party systems.

03

RETENTION

Chat history, logs or model-improvement settings can preserve information longer than intended.

04

OUTPUT

Generated content can reproduce confidential details or be sent to the wrong recipient.

HIGH-RISK DATA Tax identifiers · bank details · payroll files · engagement records

Default rule: minimise the data, remove identifiers, and use only firm-approved AI tools.

The benefits of AI, and where they stop

WHAT AI DOES WELL

Efficiency

- Automates repetitive manual tasks: analysing, collating and presenting data
- Handles large volumes of data and returns
- Supports research, report writing and client communications

WHERE IT STOPS

A human stays in the loop

- It cannot do everything: firms are often too confident in AI
- Unchecked output creates double work when errors have to be fixed later
- It does not erase the need for training, e.g. on AML regulations

Source: [PCRT topical guidance on the ethical use of AI tools \(Jan 2026\)](#)

How can the firm use AI?

01

Identify a process

Pick a task to automate or speed up.

02

Choose the right tool

Find the right type of AI tool for the job.

03

Check the tool

Do due diligence on the tool's transparency, data handling and terms.

04

Protect client data

Use it with confidentiality and data protection in mind.

05

Review the output

A human checks every result before it is relied on.

SECTION

Who regulates our use of AI?

The rules, the regulators and what is at stake for accounting firms

Who regulates AI use?

In the UK there is no single AI law or AI regulator. Existing regulators apply existing rules to different aspects of AI use.

ICO

**Information
Commissioner's Office**

DATA PROTECTION

AMLS

**Your professional body
(e.g. IFA, ICAEW, ACCA)**

AML SUPERVISOR

HMRC

**HM Revenue and
Customs**

TAX AGENTS

FCA

**Financial Conduct
Authority**

(FUTURE SUPERVISOR)

Who regulates our use of AI, and what is at stake

Regulator	Why it applies to our AI use	What's at stake
ICO Data protection	Client data entered into AI tools is covered by UK GDPR, the Data Protection Act 2018 and the Data (Use and Access) Act 2025. If AI makes significant decisions about people on its own, they have the right to be told, to challenge the decision and to ask for a human review.	Fines of up to £17.5m or 4% of global turnover, whichever is higher. PECR fines (marketing emails and cookies) can now reach the same level.
Professional body AML supervisor	Your professional body's code of ethics (e.g. IFA, ICAEW, ACCA) still applies when AI is used, including confidentiality, competence and due care. PCRT guidance on the ethical use of AI tools (Jan 2026) sets out what is expected. As your AML supervisor, it expects client checks done with AI tools to still meet the Money Laundering Regulations.	Disciplinary action, sanctions and fixed penalties under your professional body's regulations.
HMRC Tax agents	We are responsible for the accuracy of every return we file, even if AI helped prepare it. The Standard for Agents was updated in February 2026, and mandatory tax adviser registration started rolling out on 18 May 2026.	HMRC can block our access to agent services, issue dishonest-conduct notices with penalties and publication, or open a criminal investigation.
FCA Coming later	It will take over AML supervision of accountants from the professional bodies. The transfer is expected to start around late 2028 and finish around 2030.	Nothing changes yet. Worth keeping an eye on.

Source: [ICO penalties](#), [GOV.UK: Data \(Use and Access\) Act 2025](#), [professional body regulations](#), [HMRC Standard for Agents](#), [HM Treasury AML supervision reform](#)

What do your regulators expect of you, and why?

Integrity

Be straightforward and honest about AI use. Be able to **explain** how a conclusion was reached, even if AI produced it.

Confidentiality

Client data in public AI tools is likely to breach confidentiality without consent. Anonymise and keep inputs generic.

Objectivity

AI can carry bias from its training data. Watch for “automation bias”: favouring the machine’s answer despite doubts.

“The output from an AI tool should also be regarded as if it were prepared by a less experienced junior colleague and reviewed with appropriate scepticism.”

Source: [PCRT topical guidance on the ethical use of AI tools \(Jan 2026\)](#)

DISCUSSION

Use cases for AI in your firm

What are some ways we already use AI? New ideas welcome.

DIFFERENT TEAMS USE AI IN DIFFERENT WAYS

Bookkeeping

Reading invoices and receipts, matching bank transactions

Tax

Summarising HMRC updates, sense-checking returns

Payroll

Spotting unusual pay runs, drafting staff queries

Client services

Emails, meeting notes, onboarding and CDD checklists

Which tasks take up most of our week?

Where could a first draft save us effort?

What should never go into an AI tool?

Training impact survey

Identify your response for each statement. 1 = Strongly disagree · 5 = Strongly agree

	1	2	3	4	5
01 I understand AI better.	☐	☐	☐	☐	☐
02 I understand how AI is used in my industry.	☐	☐	☐	☐	☐
03 I understand the risks of using AI irresponsibly.	☐	☐	☐	☐	☐
04 I feel more secure about growing my use of AI	☐	☐	☐	☐	☐
05 I feel more confident about AI in general.	☐	☐	☐	☐	☐

SCORING Training success score = the average of all responses, reported out of 5.

Sources and further reading

IFA

[IFA conduct rules guidance on AI](#)

ICAEW

[AI and accountants \(Sage and ICAEW guidance\)](#)

PCRT

[PCRT topical guidance: ethical use of AI tools \(Jan 2026\)](#)

ICO

[What is personal data?](#)

GOV.UK

[Data \(Use and Access\) Act 2025: data protection changes](#)

GOV.UK

[HMRC Standard for Agents](#)

Sources and further reading (Contd.)

- James Tobin, House of Lords Library, 'Artificial intelligence: Development, risks and regulation' (18 July 2023)
- <https://www.microsoft.com/en-gb/ai/ai-101/generative-ai-vs-other-types-of-ai#Definition>
- Karbon, 'State of AI in Accounting Report 2026' | <https://karbonhq.com/resources/state-of-ai-accounting-2026/>



Q&A

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